Bayesian Structural Time Series

ECON 8310: Business Forecasting — Lecture 11, Part 1

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Lecture Outline

1. Why Bayesian Time Series
2. The Structural Decomposition
3. Fitting It in PyMC
4. Reading the Forecast
5. Key Takeaways

Why Bayesian Time Series

Not a more accurate forecast — a different deliverable.

What Every Model So Far Gave You

Almost every model so far returned **one number per period**, with at best an interval nobody checked.

How much stock keeps the chance of a stockout under 5%? is a question about a distribution. A point forecast cannot answer it, however accurate.

> A Bayesian time series model returns a **full predictive distribution for every future period**, and a distribution for each component: trend, seasonality, noise.

Set expectations now. It will not beat XGBoost on RMSE, and it barely beats seasonal naive. Judge it by what it hands you.

Three Things That Become Possible

Priors carry knowledge	"Weekly growth is very unlikely to exceed 20%" is a sentence you can put in the model, rather than hoping the data implies it.
Components get error bars	Not just a forecast, but "how confident am I that there is a trend at all?" — separately from the seasonality.
Uncertainty compounds honestly	Forecast 52 weeks out and the interval widens as it should, because the model propagates uncertainty forward instead of assuming it away.

That third row is the one people underestimate. A prediction interval from ARIMA widens too, but according to a formula derived under assumptions you did not check. Here the widening is a consequence of the model you actually wrote down.

And the price: it is slower, it needs priors you have to defend, and — as we will see — it can fail silently in ways a least-squares fit cannot.

The Structural Decomposition

Write the series as a sum of parts you can name, and put a prior on each.

Structural Time Series: One Equation

The GAM decomposition from Lecture 3, with priors attached:

$$y_t = \underbrace{\mu_t}_{\text{level}} + \underbrace{s_t}_{\text{seasonality}} + \underbrace{\varepsilon_t}_{\text{noise}}, \qquad \varepsilon_t \sim \mathcal{N}(0, \sigma^2)$$

Each piece is something a business person can name, and each gets its own posterior: "demand is growing" is about μ_t, "December is our peak" is about s_t, "how noisy is this store?" is σ.

> That is why it is called *structural*: you state what the series is made of, and ask the data how much of each part there is.

ARIMA, by contrast, differences trend and seasonality away, and its parameters are correlations, not quantities anyone can name.

The Level: A Random Walk With a Prior On It

The simplest useful trend is a **local level** — the series has a level, and the level itself drifts:

$$\mu_t = \mu_{t-1} + \eta_t, \qquad \eta_t \sim \mathcal{N}(0, \sigma^2_{\text{level}})$$

Read it as a sentence: this week's level is last week's level, plus a shock. And σ_{level} — which you put a prior on — controls **how fast the level is allowed to move**.

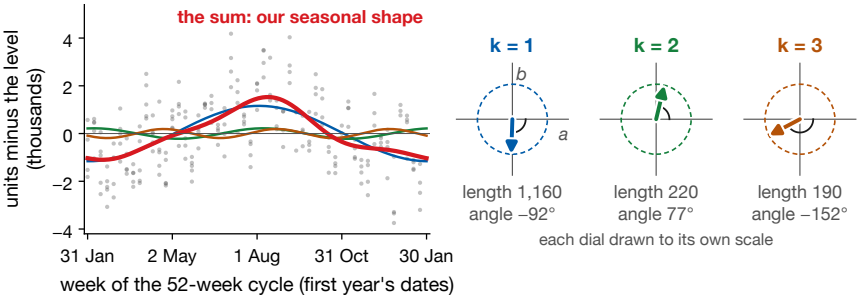
Small σ_{level}	A nearly constant level. Rigid, but stable far into the future.
Large σ_{level}	A level that chases recent data. Fits well, and forecasts wander.

That is a familiar trade in new clothing — it is the smoothing parameter from Lecture 1's exponential smoothing, and the penalty strength from Lecture 6, now expressed as a prior you can argue about.

Seasonality as Fourier Terms

Fifty-two weekly seasonal parameters would be a lot to estimate. Build the shape from K smooth waves instead, with period $P = 52$:

$$s_t = \sum_{k=1}^{K} \left[a_k \sin\left(\tfrac{2\pi k t}{P}\right) + b_k \cos\left(\tfrac{2\pi k t}{P}\right) \right]$$



Because $a \sin x + b \cos x = r \sin(x + \varphi)$, each pair (a_k, b_k) is one arrow: its length r is the wave's size, its angle φ the wave's timing. We use $K = 3$: six coefficients for fifty-two weeks.

Same device as Prophet (Lecture 3) and Homework 4; now a_k, b_k come back as distributions.

Fitting It in PyMC

The model in code, and the check you run before believing any of it.

The Model in PyMC

Local level + Fourier seasonality

```
with pm.Model() as model:

sigma_level = pm.Exponential("sigma_level", 10.0)

z           = pm.Normal("z", 0, 1, shape=n)   # non-centered

level = pm.Deterministic("level", pm.math.cumsum(z * sigma_level))

beta = pm.Normal("beta", 0, 0.5, shape=2*K)      # Fourier

sigma = pm.Exponential("sigma", 1.0)

pm.Normal("obs", mu=level + pm.math.dot(X, beta),

sigma=sigma, observed=y_scaled)

idata = pm.sample(1500, tune=2000, chains=4, target_accept=0.95)
```

Line for line this is the equations above — `cumsum` of scaled Normal draws *is* a random walk. **Standardize y first**: these priors assume unit scale, and on raw units of 20,000 they would be absurdly tight.

The First Fit Failed — Here Is What That Looks Like

Written the obvious way, with `pm.GaussianRandomWalk`, this model samples badly — even at `target_accept=0.95`. Lecture 10's checks caught it:

	First attempt	After the fix	Want
$\hat{R}$	1.022	**1.002**	< 1.01
ESS (bulk)	274	**2,376**	> 400
Divergences	0	0	0

Nothing crashed. The model returned a forecast, and the forecast looked reasonable. Only the diagnostics said the chains had not agreed with each other.

The fix was reparameterization, not more samples. Writing the walk as `cumsum(z * sigma)` with $z \sim \mathcal{N}(0,1)$ — the *non-centered* form — gives the sampler a geometry it can navigate. BMCP §4.6.1 covers exactly this, and you will meet it again next week.

Reading the Forecast

The point estimate, the interval, and whether either is any use.

Does It Work? The Point Forecast

CA_1 FOODS, 52 weeks held out.

Model	Test RMSE
Bayesian structural TS	**1,589**
Seasonal naive (same week last year)	1,660

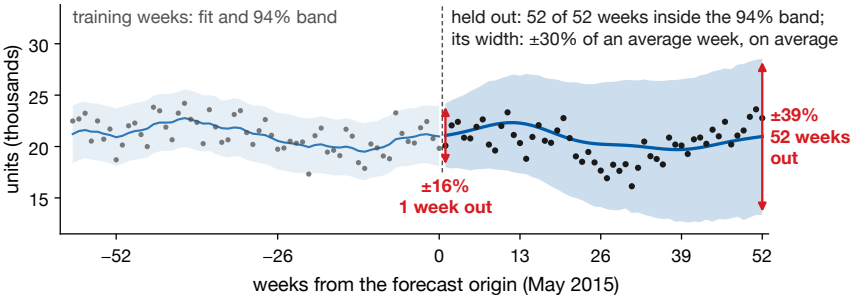
It beats the benchmark by about 4%. Real, and small: be suspicious of anyone who calls it a triumph.

And this model was given only the series and a calendar: no lags, no price, no SNAP flags, no store identity. The XGBoost model in Homework 4 had 46 engineered predictors and thirty series to learn from.

So the point forecast is not the reason to do this. The next slide is.

The Interval Is the Product

Every forecast comes with a 94% predictive interval. Two different questions about it:



Calibrated? 52 of 52 held-out weeks fell inside. Not overconfident, but 94% was promised, so it is conservative.

Useful? The width averages 11,700 units on an average week of 19,700: ±30% *on average*, from ±16% one week out to ±39% a year out. Honest, and too wide to order against.

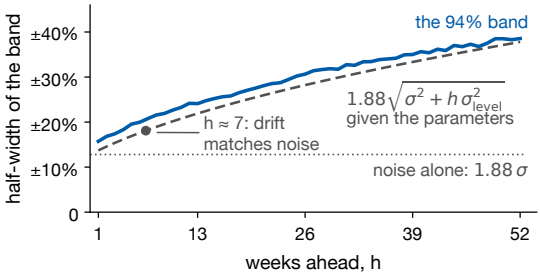
Honest, and Too Wide to Order Against

Passing the first does not excuse failing the second. "Between 14,000 and 26,000" is true, and helps nobody.

Given the parameters and today's level, the forecast h weeks out has variance

$$\sigma^2 + h\,\sigma^2_{\text{level}}.$$

The steps add up: once drift outweighs noise (about seven weeks), the band widens like $\sqrt{h}$.



The fix: a model with a stronger opinion, such as a damped level or covariates. **But notice:** we could *ask* whether the uncertainty was honest. No point-forecast model so far let us.

Key Takeaways

What structural models are for.

Lecture 11 Part 1: Key Takeaways

1. A **structural** model names the parts of a series and puts a prior on each.
2. The **local level** is a random walk; σ_{level} sets how fast it moves.
3. **Fourier terms** build seasonality from a few waves, each (a_k, b_k) an arrow.
4. **Check the sampler first:** our first fit looked fine and had not converged.
5. The point forecast beat seasonal naive by **4%**. That is not the argument.
6. The interval was **calibrated but too wide to act on**; establishing that is the product.

Next: hierarchical models, for thirty series at once.

References I